

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

LIHUA LOGISTICS COMPANY LIMITED - LLHP, *Respondent*.

DOCKET NO. 24-06

Served: May 6, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

SCHEDULING ORDER

On February 14, 2024, Complainants Impact Products, LLC and Safety Zone, LLC filed a verified complaint with the Federal Maritime Commission (“FMC” or the “Commission”) alleging violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10) in connection with demurrage, detention, per diem, and yard storage charges assessed by Respondent Lihua Logistics Company Limited (“Lihua”) in 2021 and 2022 that were not just or reasonable because of circumstances outside the control of Complainants, such as congestion at ports and shortage of equipment. On March 20, 2024, Lihua filed a motion to dismiss the complaint, arguing that Complainants lack standing because they are not “direct purchasers” of Lihua’s services. In support of this argument, Lihua asks the presiding officer to take official notice of the fact that no service contract between Lihua and complainants was filed with the Federal Maritime Commission’s (“FMC” or the “Commission”) Bureau of Trade Analysis, despite the allegation in the Complaint that Lihua entered a service contract with Complainants. Compl., ¶ 9. Lihua also points out that the complaint states that Complainants were invoiced for the disputed charges by Laufer Group International, described as a freight forwarder in the complaint, which was “acting as a conduit” for the Lihua charges. Compl., ¶ 13.

On April 4, 2024, Complainants filed an opposition to the motion to dismiss. In the opposition, Complainants backed away from the allegation that they had a service contract with Lihua, stating that the existence of a service contract is irrelevant to their claims. Opp’n, p. 2. Complainants also appear to concede that Lihua billed Laufer for these charges. Opp’n, p. 2 (“The Charges were first issued by Lihua to [Laufer], who is a non-vessel operating common carrier that Complainants used to assist in facilitating the retrieval of the relevant containers.”) Although Lihua billed Laufer, Complainants argue that the complaint alleges that it was Complainants who paid Lihua for the disputed charges, citing paragraphs 13 and 20 of the complaint. Opp’n, p. 4.

But paragraph 13 makes no mention of payment – it states that Laufer invoiced Complainants, acting as a “conduit for the charges that were sent by Lihua,” without any

mention of who paid Lihua. Compl. ¶ 13. Paragraph 20 states that the charges were “assessed by Lihua and paid by Complainant,” but in conjunction with paragraph 13’s allegation that it was Laufer who invoiced Complainants for the charges, it is still unclear who paid Lihua.

Complainants further argue that the applicability of the direct purchaser rule is limited to situations where the indirect purchasers are too far removed from the chain of distribution such that there is a risk of duplicative recovery and the calculation of damages becomes too complicated (*citing In re Vehicle Carrier Services*, 1 FMC 2d 440, 2019 WL 5558120 (FMC Oct. 21, 2019)) or where a party seeks to recover reparations on behalf of others (*citing Gov’t of Guam v. Sea-Land* 25 S.R.R. 842 (ALJ 1990)). Opp’n, p. 6.

Under the Commission’s direct purchaser rule, parties seeking reparations for charges assessed in violation of the Shipping Act can only recover if they actually paid the carrier, received an assignment from the party who did pay, or are an agent of that party. *In re Vehicle Carrier Services*, 2019 WL 5558120 at *5. The Commission’s application of this rule does not appear to be as limited as Complainants suggests, and has barred recovery of reparations even in situations where a complainant sought recovery on its own behalf, and where the calculation of reparations would presumably be straightforward since there was only one shipper and one consignee (*see Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Sep. 28, 1979) (complainant consignee could not recover overcharges paid by shipper in the absence of an assignment, even if consignee ultimately bore the burden of the charges)) or where a parent company was seeking to obtain charges paid by its wholly owned subsidiary. *Rohm & Hass Co. v. Italian Line*, 21 S.R.R. 212 (FMC Nov. 13, 1981) (where complainant’s wholly owned foreign subsidiary paid the disputed charges, Commission directed complainant to obtain and file assignment). A “pass-through” or “conduit” theory appears to have been uniformly rejected. *Gov’t of Guam v. Sea-Land Service, Inc.*; 29 S.R.R. 894, 902 (ALJ March 27, 2002, admin. final May 22, 2002) (“Uniformly, the rule has been deemed to require rejection of reparations claims by persons who...claim reparations by arguing that the direct payor passed the carrier’s charges on to them.”).

Finally, Complainants state that they “have received a valid assignment of the claim from Laufer.” Opp’n, p. 9. The complaint makes no mention of this assignment.

Under 46 C.F.R. § 502.66(a), “[t]he presiding officer may direct a party to state its case more fully and in more detail by way of amendment.” Given the apparent existence of an assignment that is not mentioned in the complaint, as well as the general confusion over the relationships between the parties, the Complainants are **ORDERED** to file an amended complaint. The amended complaint should include any further details regarding the shipments and charges at issue that Complainants wish to add to state their case more fully and must set forth with specificity who paid whom for the disputed charges and when they were paid. The amended complaint must also include Laufer’s assignment of its claims to Complainants. Complainants are authorized to serve the amended complaint to Lihua directly but must contemporaneously file with the Office of the Secretary with a courtesy copy to Judges@fmc.gov. 46 C.F.R. 502.66(b).

In the interest of judicial economy, I will **DEFER** ruling on the motion to dismiss until after the amended complaint is filed. The parties are **ORDERED** to adhere to the following schedule:

May 21, 2024

Amended Complaint due

June 5, 2024

Answer to Amended Complaint due

Extensions to these deadlines will only be granted in extraordinary circumstances. All other deadlines and requirements of the February 28, 2024 Initial Order remain in effect.

ALEX

CHINTELLA

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ALEX CHINTELLA

Date: 2024.05.06

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Alex M. Chintella

Administrative Law Judge